Office Management - Set 3

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. In a hotel, the receptionist who welcomes you belongs to the
A. back office
B. front office
C. virtual office
D. sublet office

2. Assigning each file a number is
A. numerical filing
B. geographical filing
C. alphabetical filing
D. subject filing

3. Fire extinguishers, emergency exits and first-aid boxes are
A. filing methods
B. security measures
C. safety measures
D. layout types

4. Secretarial Standards SS-1 and SS-2 issued by ICSI relate to
A. the issue of shares and debentures by the company
B. income tax and the filing of returns by the company
C. accounting and auditing of the financial statements
D. Board meetings and general meetings

5. A director is
A. a person appointed to the Board to participate in management, decision-making and supervision
B. a person employed at the lowest level to carry out routine office work
C. a customer who regularly purchases the company's products
D. an outsider appointed to audit the accounts of the company

6. Quorum means
A. the maximum number of persons allowed to attend a meeting
B. the minimum attendance required to legally conduct a meeting
C. the number of votes cast against a proposal at the meeting
D. the total number of directors appointed in the company

7. A proposal that has been moved but not yet put to the vote is called a
A. proxy
B. casting vote
C. motion
D. quorum

8. Directors act collectively as the
A. Registrar
B. Board of Directors
C. General Body of Auditors
D. Trade union

9. Which factor determines the size of an office building?
A. Name of the architect and the year of construction
B. Distance of the office from the owner's residence
C. Nature of business, number of employees and future expansion
D. Colour of the walls and the brand of furniture selected

10. A Director Identification Number (DIN) is
A. type of share issued to the directors of the company
B. bank account number given to the directors for salary
C. tax number allotted to every company by the income tax department
D. a unique number allotted to every director

11. A business letter is a
A. private written message exchanged between two friends or relatives
B. spoken order given by the manager to a subordinate in the office
C. short note written on the file for the purpose of reference
D. formal written communication to conduct official business

12. A stock ledger card is an example of a
A. record form
B. report form
C. operating form
D. manifold form

13. A member voting without being physically present, through a representative, is voting by
A. casting vote
B. show of hands
C. proxy
D. poll

14. Votes counted according to the voting rights of members is a
A. show of hands
B. poll
C. proxy
D. postal ballot

15. A virtual office is one where employees
A. all employees are seated together in a single large open hall
B. work without being permanently located in a traditional physical office
C. every employee has a separate cabin with fixed working hours
D. work is done only on the factory floor under direct supervision

16. Which is an objective of office management?
A. To keep the records scattered in different departments
B. To delay the flow of information to the managers
C. To ensure smooth office operations
D. To increase the operating cost of the office every year

17. A committee meeting, e.g. audit, nomination or CSR, is attended by
A. the customers and suppliers who have dealings with the company
B. selected directors / committee members
C. all the shareholders of the company who hold voting shares
D. the general public who are interested in the company's affairs

18. A proxy generally cannot
A. be appointed by a member who is unable to attend the meeting
B. hold a proxy form deposited with the company before the meeting
C. vote on a poll on behalf of the member who appointed him
D. speak at the meeting or vote on a show of hands

19. The quorum for a Board meeting is
A. all the directors of the company without any exception
B. one-fourth of the total directors or 1 director whichever is lower
C. one-half of the total directors or 5 directors whichever is higher
D. 1/3 of total directors or 2 directors, whichever is higher

20. Reception and mail service are examples of
A. marketing research

B. office support services
C. production activities
D. financial leverage

21. A bank or lawyer's office with separate cabins and formal atmosphere is a
A. coworking office
B. sublet office
C. creative office
D. traditional office

22. An employee who rejects a supplier's gift offered in exchange for approving a purchase order is following
A. marketing strategy
B. cost cutting
C. workplace ethics
D. automation

23. Which is the correct order of steps for outward mail?
A. Approval, dispatch, enveloping, drafting
B. Drafting, approval, recording, enveloping, dispatch
C. Recording, dispatch, drafting, approval
D. Dispatch, drafting, approval, recording

24. The office is often called the
A. heart of the factory
B. engine room of production
C. nerve centre of an organisation
D. backbone of the market

25. A layout combining open spaces, private cabins and meeting rooms is the
A. open layout
B. closed layout
C. hybrid layout
D. cubicle layout

26. Digitisation is
A. typing letters on a computer and printing them for dispatch
B. converting physical documents into digital form
C. destroying paper records after they are used once
D. storing paper records in fire-proof steel cabinets

27. Which is a DON'T of telephone etiquette?
A. Speak clearly at a moderate pace to the caller
B. Give confidential information over the phone
C. Take accurate messages including name, number and purpose
D. Confirm the details and close the call politely

28. 'Yours faithfully' is the
A. reference line
B. complimentary close
C. inside address
D. subject line

29. Arranging documents by date is
A. geographical filing
B. alphabetical filing
C. chronological filing
D. subject filing

30. A retention schedule fixes
A. how long each type of record must be kept before disposal
B. the colour and size of the files used for different departments
C. the salary and allowances payable to the records clerk

D. the working hours and the leave entitlement of the office staff

31. Each record on a separate card stored vertically in trays is a

A. loose / vertical card index
B. strip index
C. wheel (rotary) index
D. page (bound book) index

32. An auditor is

A. an officer who presides over the meetings of the Board
B. an independent professional (Chartered Accountant) who examines the financial records and reports whether they show a true and fair view
C. an employee who records the day-to-day transactions in the books
D. a director elected by the shareholders to manage the business

33. A meeting is

A. a task done by one person alone for a personal purpose
B. a written record of the decisions taken by the directors
C. a gathering of two or more persons for a common purpose
D. a printed notice sent to the members of a company

34. An internal telephone exchange linking all departments is

A. Video conferencing
B. Intranet portal
C. Fax machine
D. Intercom / EPABX

35. Arranging files in A-to-Z order is

A. numerical filing
B. geographical filing
C. alphabetical filing
D. chronological filing

36. The audit report states whether the financial statements give a

A. full secrecy
B. complete profit guarantee
C. tax exemption
D. true and fair view

37. Ordinary business at an AGM includes

A. issue of new shares at a premium and the change of the registered office
B. alteration of the Memorandum and the sale of the whole undertaking
C. consideration of financial statements, declaration of dividend, appointment of directors and auditors
D. winding up of the company and the appointment of a liquidator

38. Minutes of a meeting, once signed by the Chairman, are

A. invalid until they are approved by the court of law
B. private opinions of the chairman, not binding on the company
C. a draft which can be changed by any member at any time
D. prima facie evidence of the proceedings

39. Which is a responsibility of directors?

A. Act in good faith, with due care and skill and avoid conflict of interest
B. Use their position to make secret personal gains for themselves
C. Act only in the interest of the majority shareholders and not the company
D. Avoid attending Board meetings and disclosing their interest in contracts

40. Communication within the organisation through memos, circulars and notices is

A. internal correspondence
B. advertising
C. external correspondence
D. auditing

41. Which is a challenge of digital record systems?
A. Impossibility of sharing the records between locations
B. Slower retrieval of records than from the paper files
C. Need for large physical space for storing the records
D. Cybersecurity and data-privacy risks

42. The minimum number of directors in a public company is
A. 1
B. 15
C. 2
D. 3

43. An office manager is the link between
A. customers and suppliers
B. banks and borrowers
C. management and office staff
D. buyers and sellers

44. Preparing salary sheets using software shows office management as
A. luck
B. a science
C. an art
D. a hobby

45. The secretary reports to the
A. auditor only
B. Board
C. competitors
D. customers

46. An online leave portal replacing a paper leave application is an example of
A. a manual filing practice kept in steel cabinets
B. a type of lockout declared by the employer
C. a method of recording the minutes of meetings
D. a paperless office practice

47. Who prepares the agenda of a Board meeting in consultation with the Chairman?
A. Company Secretary
B. The peon of the company
C. The statutory auditor of the company
D. The bank manager of the company

48. Which is an advantage of centralised record keeping?
A. Uniformity in filing and avoiding duplication
B. Department-specific control
C. Faster access for every department always
D. No risk of overload

49. Partitioned semi-private workstations are used in the
A. private cabins
B. cubicle layout
C. virtual office
D. open layout

50. A formal proposal made by a member during a meeting is a
A. quorum
B. motion
C. resolution
D. minute

Answer key - Set 3

1. **B**	11. **D**	21. **D**	31. **A**	41. **D**
2. **A**	12. **A**	22. **C**	32. **B**	42. **D**
3. **C**	13. **C**	23. **B**	33. **C**	43. **C**
4. **D**	14. **B**	24. **C**	34. **D**	44. **B**
5. **A**	15. **B**	25. **C**	35. **C**	45. **B**
6. **B**	16. **C**	26. **B**	36. **D**	46. **D**
7. **C**	17. **B**	27. **B**	37. **C**	47. **A**
8. **B**	18. **D**	28. **B**	38. **D**	48. **A**
9. **C**	19. **D**	29. **C**	39. **A**	49. **B**
10. **D**	20. **B**	30. **A**	40. **A**	50. **B**

Answers with explanations

1. In a hotel, the receptionist who welcomes you belongs to the

Answer: B. front office

Why correct: A receptionist who welcomes guests is front office.

A is wrong: Back office does not meet guests.

C is wrong: Virtual office is remote work.

D is wrong: Sublet office is rented space.

2. Assigning each file a number is

Answer: A. numerical filing

Why correct: Giving each file a number is numerical filing.

B is wrong: Geographical uses place.

C is wrong: Alphabetical uses letters.

D is wrong: Subject uses topic.

3. Fire extinguishers, emergency exits and first-aid boxes are

Answer: C. safety measures

Why correct: Fire extinguishers, exits and first-aid protect from accidents: safety.

A is wrong: Filing methods arrange documents.

B is wrong: Security guards against theft.

D is wrong: Layout types are plans.

4. Secretarial Standards SS-1 and SS-2 issued by ICSI relate to

Answer: D. Board meetings and general meetings

Why correct: SS-1 covers Board meetings and SS-2 general meetings.

A is wrong: Share issue has other rules.

B is wrong: Tax has other rules.

C is wrong: Accounting and audit have other standards.

5. A director is

Answer: A. a person appointed to the Board to participate in management, decision-making and supervision

Why correct: A director sits on the Board and takes part in management and supervision.

B is wrong: A lowest-level worker is not a director.

C is wrong: A customer is not a director.

D is wrong: An outsider auditing is an auditor.

6. Quorum means

Answer: B. the minimum attendance required to legally conduct a meeting

Why correct: Quorum is the minimum attendance needed to validly conduct a meeting.

A is wrong: That is not a maximum.

C is wrong: Votes against is a different count.

D is wrong: Total directors is a different count.

7. A proposal that has been moved but not yet put to the vote is called a

Answer: C. motion

Why correct: A proposal moved but not voted yet is a motion.

A is wrong: Proxy is a representative.

B is wrong: A casting vote is the Chairman's tie-break.

D is wrong: Quorum is attendance.

8. Directors act collectively as the

Answer: B. Board of Directors

Why correct: Directors together form the Board of Directors.

A is wrong: The Registrar is a government officer.

C is wrong: There is no General Body of Auditors.

D is wrong: A trade union represents workers.

9. Which factor determines the size of an office building?

Answer: C. Nature of business, number of employees and future expansion

Why correct: Size depends on the type of business, staff and future growth.

A is wrong: The architect's name is irrelevant.

B is wrong: Distance from the owner's home is irrelevant.

D is wrong: Colour and furniture brand do not decide size.

10. A Director Identification Number (DIN) is

Answer: D. a unique number allotted to every director

Why correct: DIN is a unique ID allotted to every director.

A is wrong: A DIN is not a share type.

B is wrong: A bank account is separate.

C is wrong: A tax number for companies is TAN/PAN.

11. A business letter is a

Answer: D. formal written communication to conduct official business

Why correct: A business letter is formal written communication for official business.

A is wrong: A friend's message is private.

B is wrong: An oral order is not written.

C is wrong: A file note is an internal note.

12. A stock ledger card is an example of a

Answer: A. record form

Why correct: A stock ledger card records stock: record form.

B is wrong: Report forms show summaries.

C is wrong: Operating forms are for tasks.

D is wrong: Manifold forms have copies.

13. A member voting without being physically present, through a representative, is voting by

Answer: C. proxy

Why correct: A proxy votes on behalf of an absent member.

A is wrong: Casting vote is the Chairman's.

B is wrong: Show of hands needs presence.

D is wrong: A poll is a method of counting.

14. Votes counted according to the voting rights of members is a

Answer: B. poll

Why correct: A poll counts votes according to voting rights.

A is wrong: Show of hands counts heads.

C is wrong: Proxy is a representative.

D is wrong: Postal ballot is a mode of voting.

15. A virtual office is one where employees

Answer: B. work without being permanently located in a traditional physical office

Why correct: In a virtual office employees work without being permanently at a physical office.

A is wrong: All together in one hall is an open office.

C is wrong: Separate cabins is a closed office.

D is wrong: Factory floor work is production.

16. Which is an objective of office management?

Answer: C. To ensure smooth office operations

Why correct: An objective is to make office operations run smoothly.

A is wrong: It should keep records organised, not scattered.

B is wrong: It should speed, not delay, information.

D is wrong: Management aims to reduce, not raise, cost.

17. A committee meeting, e.g. audit, nomination or CSR, is attended by

Answer: B. selected directors / committee members

Why correct: Committee meetings involve selected directors.

A is wrong: Customers and suppliers are outsiders.

C is wrong: All shareholders attend general meetings.

D is wrong: The public is not involved.

18. A proxy generally cannot

Answer: D. speak at the meeting or vote on a show of hands

Why correct: A proxy cannot speak or vote on a show of hands - only on a poll.

A is wrong: A proxy is appointed by an absent member.

B is wrong: The proxy form is deposited beforehand.

C is wrong: A proxy can vote on a poll.

19. The quorum for a Board meeting is

Answer: D. 1/3 of total directors or 2 directors, whichever is higher

Why correct: Board quorum is one-third of directors or 2, whichever is higher.

A is wrong: All directors is not required.

B is wrong: One-fourth or 1 is wrong.

C is wrong: One-half or 5 is wrong.

20. Reception and mail service are examples of

Answer: B. office support services

Why correct: Reception and mail help the main work, so they are support services.

A is wrong: Marketing research studies markets.

C is wrong: Production makes goods.

D is wrong: Financial leverage is a finance term.

21. A bank or lawyer's office with separate cabins and formal atmosphere is a

Answer: D. traditional office

Why correct: Banks and lawyers use formal, private cabins: traditional office.

A is wrong: Coworking shares space.

B is wrong: Sublet offices are rented from tenants.

C is wrong: Creative offices are open.

22. An employee who rejects a supplier's gift offered in exchange for approving a purchase order is following

Answer: C. workplace ethics

Why correct: Refusing a bribe is workplace ethics.

A is wrong: Marketing strategy is promotion.

B is wrong: Cost cutting is saving.

D is wrong: Automation is technology.

23. Which is the correct order of steps for outward mail?

Answer: B. Drafting, approval, recording, enveloping, dispatch

Why correct: Outward mail: draft, approve, record, envelope, dispatch.

A is wrong: Dispatch cannot precede enveloping.

C is wrong: Recording cannot precede approval.

D is wrong: Dispatch cannot come first.

24. The office is often called the

Answer: C. nerve centre of an organisation

Why correct: Nearly every department sends and receives information through the office, so it is the nerve centre.

A is wrong: A factory has its own heart - production.

B is wrong: Production's engine room is the plant.

D is wrong: 'Backbone of the market' describes distribution, not the office.

25. A layout combining open spaces, private cabins and meeting rooms is the

Answer: C. hybrid layout

Why correct: Open space plus cabins plus meeting rooms is hybrid layout.

A is wrong: Open is only open space.

B is wrong: Closed is only cabins.

D is wrong: Cubicle is only partitions.

26. Digitisation is

Answer: B. converting physical documents into digital form

Why correct: Digitisation turns paper into digital files.

A is wrong: Typing and printing is not digitising.

C is wrong: Destroying after one use is disposal.

D is wrong: Fireproof cabinets are physical storage.

27. Which is a DON'T of telephone etiquette?

Answer: B. Give confidential information over the phone

Why correct: Confidential information must never be given on the phone.

A is wrong: Speaking clearly is a do.

C is wrong: Taking accurate messages is a do.

D is wrong: Confirming and closing politely is a do.

28. 'Yours faithfully' is the

Answer: B. complimentary close

Why correct: 'Yours faithfully' closes the letter before the signature.

A is wrong: Reference line gives the file number.

C is wrong: Inside address is the receiver's address.

D is wrong: Subject line gives the topic.

29. Arranging documents by date is

Answer: C. chronological filing

Why correct: Arranging by date is chronological filing.

A is wrong: Geographical uses place.

B is wrong: Alphabetical uses letters.

D is wrong: Subject uses topic.

30. A retention schedule fixes

Answer: A. how long each type of record must be kept before disposal

Why correct: A retention schedule says how long to keep each record.

B is wrong: Colour/size of files is separate.

C is wrong: Clerk's pay is HR.

D is wrong: Working hours are HR rules.

31. Each record on a separate card stored vertically in trays is a

Answer: A. loose / vertical card index

Why correct: Separate cards in trays form a loose (vertical) card index.

B is wrong: A strip index uses strips.

C is wrong: A wheel index rotates.

D is wrong: A page index is in a book.

32. An auditor is

Answer: B. an independent professional (Chartered Accountant) who examines the financial records and reports whether they show a true and fair view

Why correct: An auditor is an independent Chartered Accountant who reports on true and fair view.

A is wrong: The Chairman presides over meetings.

C is wrong: Employees record transactions.

D is wrong: Directors manage the business.

33. A meeting is

Answer: C. a gathering of two or more persons for a common purpose

Why correct: A meeting is two or more persons gathering for a common purpose.

A is wrong: One person alone is not a meeting.

B is wrong: Minutes record a meeting.

D is wrong: A notice only calls a meeting.

34. An internal telephone exchange linking all departments is

Answer: D. Intercom / EPABX

Why correct: An intercom/EPABX connects internal phones.

A is wrong: Video conferencing is online meetings.

B is wrong: Intranet is a private website.

C is wrong: A fax sends documents.

35. Arranging files in A-to-Z order is

Answer: C. alphabetical filing

Why correct: A to Z arrangement is alphabetical filing.

A is wrong: Numerical uses numbers.

B is wrong: Geographical uses place.

D is wrong: Chronological uses date.

36. The audit report states whether the financial statements give a

Answer: D. true and fair view

Why correct: The audit report states whether accounts give a true and fair view.

A is wrong: Audit is about disclosure, not secrecy.

B is wrong: No auditor guarantees profit.

C is wrong: Tax exemption is not an audit outcome.

37. Ordinary business at an AGM includes

Answer: C. consideration of financial statements, declaration of dividend, appointment of directors and auditors

Why correct: Ordinary business: accounts, dividend, directors and auditors.

A is wrong: Share issue and registered office change are special.

B is wrong: Altering the Memorandum is special.

D is wrong: Winding up is special.

38. Minutes of a meeting, once signed by the Chairman, are

Answer: D. prima facie evidence of the proceedings

Why correct: Signed minutes are prima facie evidence of what happened.

A is wrong: No court approval is needed.

B is wrong: They are the company's record, not private views.

C is wrong: Signed minutes are not a changeable draft.

39. Which is a responsibility of directors?

Answer: A. Act in good faith, with due care and skill and avoid conflict of interest

Why correct: Directors must act in good faith with care and skill and avoid conflict of interest.

B is wrong: Secret gains are forbidden.

C is wrong: They must serve the company, not only majority holders.

D is wrong: They must attend and disclose interest.

40. Communication within the organisation through memos, circulars and notices is

Answer: A. internal correspondence

Why correct: Memos, circulars and notices travel inside the firm: internal correspondence.

B is wrong: Advertising is promotion.

C is wrong: External correspondence goes outside.

D is wrong: Auditing is checking accounts.

41. Which is a challenge of digital record systems?

Answer: D. Cybersecurity and data-privacy risks

Why correct: Digital records face hacking and privacy risks.

A is wrong: They can be shared easily.

B is wrong: They are faster.

C is wrong: They save space.

42. The minimum number of directors in a public company is

Answer: D. 3

Why correct: A public company needs at least 3 directors.

A is wrong: 1 is for a One Person Company.

B is wrong: 15 is the maximum.

C is wrong: 2 is the minimum for a private company.

43. An office manager is the link between

Answer: C. management and office staff

Why correct: The office manager links top management and the office staff.

A is wrong: Customers-suppliers is trade.

B is wrong: Banks-borrowers is finance.

D is wrong: Buyers-sellers is market.

44. Preparing salary sheets using software shows office management as

Answer: B. a science

Why correct: Software-based payroll follows fixed systematic procedures, so it is science.

A is wrong: It is not luck.

C is wrong: Art needs personal skill and creativity.

D is wrong: It is a job, not a hobby.

45. The secretary reports to the

Answer: B. Board

Why correct: The secretary reports to the Board.

A is wrong: He reports to more than the auditor.

C is wrong: Competitors have no link.

D is wrong: Customers are not his boss.

46. An online leave portal replacing a paper leave application is an example of

Answer: D. a paperless office practice

Why correct: An online leave portal replaces paper forms.

A is wrong: Steel cabinets store paper.

B is wrong: Lockout is an employer act.

C is wrong: Minutes recording is another task.

47. Who prepares the agenda of a Board meeting in consultation with the Chairman?

Answer: A. Company Secretary

Why correct: The Company Secretary prepares the agenda with the Chairman.

B is wrong: The peon does not.

C is wrong: The auditor does not.

D is wrong: The bank manager does not.

48. Which is an advantage of centralised record keeping?

Answer: A. Uniformity in filing and avoiding duplication

Why correct: Centralised keeping gives uniform filing and avoids duplication.

B is wrong: Departmental control is decentralised.

C is wrong: Access can be slower.

D is wrong: The central unit can be overloaded.

49. Partitioned semi-private workstations are used in the

Answer: B. cubicle layout

Why correct: Semi-private partitioned workstations are cubicles.

A is wrong: Private cabins are full rooms.

C is wrong: Virtual offices have no room.

D is wrong: Open layout has no partitions.

50. A formal proposal made by a member during a meeting is a

Answer: B. motion

Why correct: A formal proposal at a meeting is a motion.

A is wrong: Quorum is attendance.

C is wrong: A resolution is the passed decision.

D is wrong: A minute is a record.